MYFIRSTBUSINESS.COM

Your First Business Plan

THE TEACHING BUSINESS

Get paid for what you already know, one person or one small group at a time.

Generated 15 August 2026 · from 12 answers · free, and yours to keep

SECTION 01

Your situation, stated honestly

A plan that ignores your constraints is fiction. Here is what you told us, written back to you as the boundary conditions everything else in this document had to fit inside.

Where you are	no idea yet
Capital you can risk	$0
Time you can protect	5–10 hours a week
Financial pressure	income needed within 30 days
Skills you already have	talking to people, organising
Subjects you care about	tech and AI, music, art and design
Where your customers are	local and in person
How you want to work	talking to people
Asking for money	nervous but willing
If you lost the money	cannot afford to lose anything
Winning in 12 months	replace a full income
What has stopped you	not knowing what step one is

Two of these matter more than the rest. Your capital sets which models are even available to you, and your available time sets how fast any of them can move. Everything that follows was filtered through those two numbers first — which is why this plan will look different from advice written for someone with money and a free calendar.

SECTION 02

The business you should start

YOUR MATCH · 93/100

The Teaching Business

Get paid for what you already know, one person or one small group at a time.

You know something someone else wants to learn. Tutoring, skill coaching, language practice, instrument lessons, exam prep, fitness. It requires no capital and no product, and the bar is not "expert" — the bar is being two steps ahead of the person you're teaching.

STARTING CAPITAL	FIRST DOLLAR IN	REALISTIC CEILING
$0	7 – 30 days	$2k–$15k/mo solo, more via groups and products

Why this one, for you specifically

- You have no capital, and this model needs none.
- You need money inside 30 days, and this is one of the few models that can produce a paying customer that fast.
- It matches your preference for working talking to people.
- It can be run inside 5–10 hours a week.

What it looks like in practice

- Exam or subject tutoring for a specific year group
- Teaching a software or creative skill you use daily
- Language conversation practice with a specific profession

Your two alternates

Take one of these if the primary does not appeal after a week — but not a fourth option. The cost of switching is the ninety days you keep restarting.

02 **The Local Operation · 89/100**

A physical service, sold to people who live near you, paid in cash or card the same day.

A strong second option if the primary does not appeal.

03 **The Skill Service · 87/100**

Sell one specific skill, done for one specific type of customer, for money, this month.

A strong second option if the primary does not appeal.

SECTION 03

Your offer

Hormozi's Value Equation is the most practically useful formula in modern business, and it is the whole of offer design:

Value = (Dream Outcome × Perceived Likelihood of Achievement) ÷ (Time Delay × Effort and Sacrifice)

You raise value by increasing the top two and decreasing the bottom two. That is the entire game, and it is why "lower my price" is almost never the right lever — price is not even in the equation.

The dream outcome you are selling

They get to the thing they want faster, with someone who won't let them quit.

Their obstacles, converted into your solutions

Every objection is an obstacle you failed to remove in advance. Pre-handle them inside the offer instead of fighting them on the call.

THEIR OBSTACLE	YOUR BUILT-IN SOLUTION
They doubt your credentials	Offer a free first session. Results in one session beat any certificate
They've tried and failed before	Sell the structure and the accountability, not the information. The information is free and they know it
Price feels high per hour	Sell a package of six sessions with an outcome attached, not loose hours. Outcomes justify prices that loose hours never can

Your risk reversal

"If you don't feel the first session was worth it, it's free." Costs you almost nothing and removes the entire barrier to trying you.

SECTION 04

What to charge on day one

Law 7: price is a strategic decision, not an arithmetic one. It signals quality, filters your customers, and funds your acquisition. A 1% price increase produces a bigger profit change than a 1% volume increase or a 1% cost cut, because it flows straight to the bottom line.

Package pricing tied to an outcome. Never sell single hours — single hours make you a commodity and guarantee churn.

TIER	WHAT THEY GET	STARTING PRICE
Single session	One-off, mostly for trials	**$30 – $60**
Six-session package	A defined outcome over six weeks	**$250 – $450**
Group program	Six to ten people, same outcome, weekly	**$150 per person**

The group version is the leverage. Same hour of your time, six times the revenue, and peer accountability makes the results better rather than worse.

Why three tiers and not one: price discrimination. Different customers have different willingness to pay, and a single price captures only one slice of the demand curve. The top tier does most of its work by making the middle tier look reasonable — most people buy the middle, which is the point.

SECTION 05

How you get customers

Every lead on earth comes from one of four places: warm outreach (people who know you), cold outreach (people who don't), warm content (an audience you built), or cold content (paid advertising). Everything else is a variation. Choosing more than one at the start is the most common way beginners get nowhere on all of them.

YOUR CHANNEL

Warm outreach, then referrals

Teaching is a trust purchase, and trust travels by recommendation. Your existing network and your first students' networks will out-perform any advertising you could buy.

Your required volume

20 personal messages in week one, then one referral request per satisfied student, every month.

Law 5: volume negates luck. One attempt tells you nothing; a hundred tells you everything. The single biggest difference between people who succeed at this and people who do not is number of attempts, not quality of thinking. Track every attempt in a spreadsheet from day one — contacts, replies, calls, closes. Without those four numbers you are guessing.

Use this, word for word, until you have your own data

> Hi [name] — I'm tutoring [subject] for [specific group] and I'm taking on three students this month. First session is free so you can see if it clicks. If it does, it's $[X] for six weeks and we work toward [specific outcome]. Know anyone it might suit — or is that you?

Do not "improve" this before you have sent it fifty times. You cannot tell what needs changing from a sample size of three, and rewriting the script is the most popular way to avoid sending it.

SECTION 06

Your 90-day plan

Scaled to the 5–10 hours a week you said you can protect. It ends with money in your account, not with a finished logo. If you fall behind, do not restart — carry on from where you are.

Days 1–7

Define the outcome, not the subject

"Maths tutoring" is a commodity. "Get from a C to an A in GCSE maths in one term" is a product with a price.

Days 8–20

Get three free students

Family, friends of friends, local groups. Free students give you reps, testimonials and referrals — three things you cannot buy.

Days 21–40

Convert to paid packages

Six sessions with a defined outcome. Everyone who got value from free will consider paid, if you ask directly.

Days 41–60

Build the referral loop

Every satisfied student is asked for one name. This is the whole growth engine and it costs nothing.

Days 61–80

Run one group

Take your best six students and run them together. Test that your time can serve more than one person at once.

Days 81–90

Package the repeated part

Whatever you explain in every single session becomes a video or a worksheet. That is the seed of a digital product.

The accountability loop that makes this work: every Saturday, three questions. What did I commit to last week? Did I do it — yes or no, no explanations? What is the one adjustment? Ten minutes. It is the difference between a plan and a habit.

SECTION 07

The numbers you must know cold

Law 2: businesses die from lack of cash, not lack of profit. Law 8: if unit economics are broken, growing just makes you fail faster. Compute this before you spend a dollar on growth.

For your model specifically

- Revenue = students × package price × packages per year
- Capacity = teachable hours per week ÷ hours per student
- Group revenue per hour = participants × price per participant ÷ total hours
- Gross margin ≈ 100%; your constraint is hours, not money

THE ONE TO WATCH

Hours are your inventory and they don't restock. Once you're at 70% booked, the only ways up are price and groups.

The universal formulas

These apply to every business that has ever existed. Learn them from memory and you are ahead of most people who have read fifty business books.

METRIC	FORMULA
Gross margin	(Revenue − COGS) ÷ Revenue
Contribution margin	Price − variable cost per unit
Break-even units	Fixed costs ÷ contribution margin per unit
Customer acquisition cost	Total sales & marketing spend ÷ new customers
Lifetime value	AOV × gross margin % × frequency × lifespan
LTV : CAC	Target ≥ 3:1. Below 3 is weak, above 5 you are underspending
Churn rate	Customers lost in period ÷ customers at start
Runway	Cash on hand ÷ monthly net burn

SECTION 08

Your first ten customers

Not a strategy. A list of physical actions in order. Do them in this sequence.

1. Define one measurable outcome you can deliver
2. Teach three people free, this month
3. Ask each for one written sentence about the result
4. Convert free students to six-session packages
5. Ask every student for one referral name

The three traps that kill this model

These are not hypothetical. They are the specific, documented ways people fail at this exact business, and you will feel the pull of at least one of them.

- Charging hourly. It caps you and attracts people who count minutes.
- Teaching anything to anyone. Specialists command double.
- Waiting until you feel "qualified". Two steps ahead is enough, and always was.

Invert, always invert

Munger's tool, and the most reliable one in this document. When you are stuck, do not ask "how do I succeed at this?" Ask "what would guarantee that this fails?" — then refuse to do those things. The answer is almost always: stop sending messages, change the plan every week, and never ask anyone for money.

SECTION 09

The thing that stopped you

"I don't know what step one is."

This is the most honest answer on the list, and the easiest for a document to actually solve, which is more or less why this site exists.

Paralysis at step one is almost never about the step. It is about the fact that step one has never been separated from steps two through fifty. When all fifty are in your head at once, the whole thing is unliftable. Separate them and each one is trivial.

The 90-day plan in this document is built as a sequence for exactly this reason. You do not need to believe in the whole plan or even understand it. You need to do the first block and then look at the second. That is all.

THIS WEEK

This week: do only the first line of the Days 1–7 block. Nothing else. Then come back and read the second line. Sequence beats motivation.

SECTION 10

What to read, what to use

Your reading path — in this order

Not a library. Three books, sequenced for your model. Read one at a time, and after each one write a single page: three concepts, one application to a real business you can observe, one thing you disagree with. If you cannot write the page, you did not read the book.

- $100M Offers — Alex Hormozi
- Influence — Robert Cialdini
- SPIN Selling — Neil Rackham

Do not read them all before starting. Read the first one this week and begin the Days 1–7 block at the same time. Reading without reps is studying swim technique on a whiteboard.

Free tools that are genuinely enough

- Google Meet or Zoom free — sessions
- Calendly free — booking
- Google Slides / Docs — materials
- Stripe payment links — packages upfront

Free learning worth the time

- Alex Hormozi's YouTube channel — largely the same material as the books, free
- Y Combinator Startup Library — dense, free, no fluff
- Acquired (podcast) — long-form histories of how real companies were actually built
- Aswath Damodaran (NYU) — full valuation and corporate finance courses, free
- Berkshire Hathaway shareholder letters, 1977 onward — the best business writing at any price
- SEC EDGAR — read three 10-Ks in your target industry and you will know more about its economics than most people working in it

SECTION 11

The only number that predicts anything

Not books read. Not notes taken. Not plans made — including this one.

TRACK THIS

The number of times you have made an offer to a real human being and asked for money.

It is the only leading indicator that predicts whether any of this becomes a business. Print this page. Put a mark in a box every time you ask. Anything below fifty in ninety days means you were reading, not building.

Ninety days. Fill these in.

Sixty boxes. If you fill them, the business follows. That is not motivation, it is arithmetic — outcomes in business are heavy-tailed and probabilistic, and the person who takes ten times the shots gets ten times the lottery tickets.

Redo the questionnaire any time your situation changes — after your first customer, your answers on capital, skills and selling comfort will all be different, and the plan should change with them. myfirstbusiness.com is free, has no account, and nothing to cancel.